

## Tentative Rulings for September 15, 2026 Department 3

**To request oral argument, you must notify Judicial Secretary  
Crystal Marias at (760) 904-5722  
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department 3 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

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Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

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1.

| CASE #      | CASE NAME                                      | HEARING NAME               |
|-------------|------------------------------------------------|----------------------------|
| CVRI2602920 | DREAD vs WEIDNER<br>PROPERTY<br>MANAGEMENT LLC | MOTION TO STRIKE COMPLAINT |

**Tentative Ruling:**

“Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike [a pleading] or any part thereof[.]” (C.C.P. § 435(b)(1).) The Court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, “[s]trike out any irrelevant, false, or improper matter inserted in any pleading.” (C.C.P. § 436(a).) “The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (C.C.P. § 437(a).)

**A. Negligence-Based Causes of Action**

Defendant moves to strike the 2nd cause of action for negligence, 3rd cause of action for negligent hiring, 9th cause of action for negligent infliction of emotional distress, and 11th cause of action for negligent misrepresentation under the “primary right” theory, contending that the causes of action all sound in negligence. Although Defendant cites to *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888 in support of its contention, *Mycogen* does not support Defendant’s argument. Rather, the California Supreme Court explained in *Mycogen* that “the primary right theory ... is invoked ... when a plaintiff attempts to divide a primary right and enforce it in two suits.” (*Id.* at 904 [internal punctuation omitted].) There is no second suit here.

To the extent that Defendant seeks to strike the causes of action because they are all based on negligence, the causes of action are not duplicative because the allegations of duty are different. (Complaint, ¶¶ 26, 30, 61, 73.) Further, an argument that an entire cause of action is duplicative is an improper basis for a motion to strike. As stated in *Quiroz v. Seventh Ave. Center* (2006) 140 Cal.App.4th 1256, 1281: “[I]t is improper for a court to strike a whole cause of action of a pleading under Code of Civil Procedure section 436....While under section 436, a court at any time may, in its discretion, strike portions of a complaint that are irrelevant, improper, or not drawn in conformity with the law, ***matter that is essential to a cause of action should not be struck*** and it is error to do so. [Citation.] Where a whole cause of action is the proper subject of a pleading challenge, the court should sustain a demurrer to the cause of action rather than grant a motion to strike. [Citation.]” (*Ibid.* [emphasis added].) Here, Defendants are improperly using a motion to strike as a substitute for a demurrer. (*Warren v. Atchison, T. & S. F. Ry. Co.* (1971) 19 Cal.App.3d 24, 41 [a motion to strike cannot be used as a substitute for a demurrer].)

Accordingly, the Court **DENIES** the motion to strike the **2nd, 3rd, 9th, and 11th causes of action** from the Complaint.

## B. Punitive Damages

A motion to strike is the proper vehicle to attack a claim for punitive damages where facts alleged do not rise to the level of fraud, malice or oppression. (*Truman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63.) A plaintiff may recover exemplary or punitive damages where it is proven that “the defendant has been guilty of oppression, fraud or malice.” (Civ. Code § 3294(a).)

As defined in the statute, “malice” is “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others,” while “oppression” is defined as “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (Civ. Code § 3294(c)(1) and (2).) As used in the statute, “despicable conduct” is conduct that is “so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (*American Airlines, Inc. v. Sheppard Mullin Richter & Hampton* (2002) 96 Cal.App.4th 1017, 1050.)

To support an award of punitive damages on the basis of conscious disregard of the safety of others, a plaintiff “must establish that the defendant was aware of the probable dangerous consequences of his conduct, and that he willfully and deliberately failed to avoid those consequences.” (*Penner v. Falk* (1984) 153 Cal.App.3d 858, 867.)

“Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim.” (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166.) “[A] conclusory characterization of defendant’s conduct as intentional, willful and fraudulent is a patently insufficient statement of ‘oppression, fraud, or malice, express or implied,’ within the meaning of section 3294.” (*Brousseau v. Jarrett* (1977) 73 Cal.App.3d 864, 872.) The pleading must contain factual allegations of wrongful motive, intent, or purpose. (*Cyrus v. Haveson* (1976) 65 Cal.App.3d 306, 317.)

“Because punitive damages are imposed ‘for the sake of example and by way of punishing the defendant (§ 3294, subd. (a)), they are typically awarded for intentional torts such as assault and battery, false imprisonment, intentional infliction of emotional distress, defamation, nuisance intentionally maintained, fraud, trespass...” (*Lackner v. North* (2006) 135 Cal.App.4th 1188, 1212.) “The mere carelessness or ignorance of the defendant does not justify the imposition of punitive damages...Punitive damages are proper only when the tortious conduct rises to levels of extreme indifference to the plaintiff’s rights, a level which decent citizens should not have to tolerate.” (*Tomaselli v. Transamerica Ins. Co.* (1994) 25 Cal.App.4th 1269, 1287.)

An employer will not be liable for punitive damages based on the acts of its employees, “unless the employer had advanced knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge of conscious disregard, authorization,

ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation.” (C.C.P., § 3294(b).) Officers, directors and managing agents are the employees of the corporation who exercise substantial discretionary authority over decisions that ultimately determine corporate policy; the acts of an ordinary supervisory level employee do not subject the corporation to punitive damages. (*White v. Ultamar* (1999) 21 Cal.4th 563, 573.)

Thus, when the defendant is a corporation, an award of punitive damages against that corporation must rest on the malice of the corporation’s employees. (*Wilson v. Southern California Edison Co.* (2015) 234 Cal.App.4th 123, 164.) A plaintiff must plead that the wrongful acts of employees of the defendant corporation were done with the knowledge or under the express direction or ratification of an officer, director or managing agent. (*Scannell v. County of Riverside* (1984) 152 Cal.App.3d 596, 614.)

Defendant argues that Plaintiff fails to allege a claim against them as corporate employers because the Complaint does not contain “any allegation an officer, director, or managing agent directly committed, or authorized or ratified the act, condition, or omission that supports plaintiff’s punitive damages request.” (Motion, p. 5.) Although the Complaint alleges that “at all times mentioned herein, each of the Defendants was the agent, servant or employee of the other Defendants, and at all times mentioned herein acted within the scope of such agency” (Complaint, ¶ 4), there are no allegations of authorization or ratification. Thus, the Court **GRANTS** the motion to strike **punitive damages** from the Complaint, with 30 days leave to amend.

## 2.

| CASE #      | CASE NAME                                      | HEARING NAME          |
|-------------|------------------------------------------------|-----------------------|
| CVRI2602920 | DREAD vs WEIDNER<br>PROPERTY<br>MANAGEMENT LLC | DEMURRER ON COMPLAINT |

### Tentative Ruling:

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.)

If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A complaint, with certain exceptions, need only contain a “statement of the facts constituting the cause of action, in ordinary and concise language” (C.C.P. § 425.10(a)(1)) and will be upheld “so long as

the pleading gives notice of the issues sufficient to enable preparation of a defense.” (*Okun v. Superior Court* (1981) 29 Cal.3d 442, 458.)

Defendants demur to Plaintiff’s causes of action for breach of contract and statutory violations, specifically the 1st cause of action for breach of implied warranty of habitability, 4th cause of action for breach of contract; 5th cause of action for breach of the covenant of quiet enjoyment, 7th cause of action for violation of Business & Professions Code § 17200, 10th cause of action for fraudulent misrepresentation, and 14th cause of action for violation of Civil Code § 1940.2. Defendant argues that Plaintiff fails to allege sufficient facts to support her claims with requisite particularity.

Indeed, “[f]acts alleging a breach, like all essential elements of a breach of contract cause of action, must be pleaded with specificity.” (*Levy v. State Farm Mutual Automobile Ins. Co.* (2007) 150 Cal.App.4th 1, 5.) Further, statutory causes of action must be alleged with particularity. (*Gates v. Superior Court* (1995) 32 Cal.App.4th 481, 493-494.)

However, Defendant’s demurrer is premised on the sole argument that Plaintiff fails to allege sufficient facts to support her claims of breach of contract and statutory violations with requisite particularity because she reincorporates each preceding allegation by reference. (Demurrer, p. 3.) However, in evaluating a demurrer, the Court gives the pleading a reasonable interpretation by reading the Complaint as a whole and all of its parts in their context. (*Moore, supra*, 51 Cal.3d at 125.) Accordingly, Plaintiff’s incorporation of prior allegations does not, by itself, fail to meet the particularity requirement.

Though Defendants cite to *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645 for the proposition that the “particularity requirement necessitates pleading *facts* which show how, when, where, to whom, and by what means the representations were tendered,” this definition of particularity only applies to the heightened pleading standard for claims of fraud. (See *ibid.*) As such, Plaintiff is not held to the heightened *Lazar* standards of particularity in alleging her 1st, 4th, 5th, 7th, and 14th causes of action for breach of contract and statutory violations, as none of them are based on fraud. Defendants fail to set forth any further argument as to how Plaintiff has failed to allege sufficient facts to support the causes of action at issue. An undeveloped argument is a forfeited one. (*Meridian Financial Services, Inc. v. Phan* (2021) 67 Cal.App.5th 657, 701, fn. 15 [failure to develop an argument forfeits that point].) Accordingly, the Court **OVERRULES** the demurrer as to the **1st, 4th, 5th, 7th, and 14th causes of action**.

Plaintiff’s 10th cause of action for fraudulent misrepresentation is held to the heightened pleading standard for fraud-based claims. Under California law, “[t]he elements of fraud are: (1) a misrepresentation (false representation, concealment, or nondisclosure); (2) knowledge of falsity (or scienter); (3) intent to defraud, *i.e.*, to induce reliance; (4) justifiable reliance; and (5) resulting damage.” (*Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal. 4th 979, 990 [citing *Lazar, supra*, 12 Cal. 4th at 638].) Every element of a cause of action for fraud and misrepresentation must be pled factually and specifically, and the policy of liberal pleading does not apply. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47; *Charnay v. Cobert* (2006) 145 Cal.App.4th

170, 185, fn. 14.) “This particularity requirement necessitates pleading *facts* which ‘show how, when, where, to whom, and by what means the representations were tendered.’ [Citation.]” (*Lazar, supra*, 12 Cal. 4th at 645 [original emphasis].) Here, the 10th cause of action states that Defendant falsely misrepresented to Plaintiff that the Property was safe for human habitation to induce Plaintiff to pay more rent, and that Plaintiff justifiably relied on the misrepresentations, resulting in damage. (Complaint, ¶ 66-69.) However, the Complaint’s factual allegations do not identify “how, when, where, to whom, and by what means” the representations were made. Rather, the Complaint only alleges that Defendant misrepresented that it was installing new carpeting in the Property before Plaintiff moved in. (Complaint, ¶ 7.) Accordingly, the Court **SUSTAINS** the demurrer to the **10th cause of action for fraudulent misrepresentation with 30 days leave to amend**.

3.

| CASE #      | CASE NAME            | HEARING NAME     |
|-------------|----------------------|------------------|
| CVRI2603171 | BARBA vs TESLA, INC. | MOTION TO COMPEL |

#### **Tentative Ruling:**

This is a lemon law action. On May 26, 2026, Plaintiff Alonso Barba (“Plaintiff”) filed a Complaint against Defendant Tesla, Inc. (“Defendant”) asserting causes of action for (1) Breach of Express Warranty, and (2) Breach of Implied Warranty, arising out of Defendant’s alleged failure to repair the 2026 Tesla Model Y (the “Vehicle”) purchased by Plaintiff through an online order.

Defendant now moves to compel arbitration and stay this action, arguing that when Plaintiff ordered the Vehicle, he agreed to be bound by the terms of the Motor Vehicle Order Agreement (“Order Agreement”), which contains a valid arbitration provision that covers Plaintiff’s claims.

In opposition, Plaintiff argues that Defendant fails to establish that he received reasonably conspicuous notice of the Order Agreement and assented to its terms. He also argues that the agreement is procedurally unconscionable because it is a standardized, non-negotiable agreement, and the arbitration agreement was not presented separately, but within the Order Agreement. Finally, he argues that the agreement is substantively unconscionable because it is one-sided, in that only Plaintiff is required to give pre-arbitration notice.

In reply, Defendant argues that it established the existence of an arbitration agreement, and Plaintiff fails to meet his burden of establishing its falsity. It also argues that the agreement is not procedurally unconscionable because it has an opt-out provision, and it is not substantively unconscionable.

### **Analysis**

#### **I. Request for Judicial Notice**

Defendant seeks judicial notice of the Complaint filed in this action. The request is granted pursuant to Evid. Code § 452(d).

## **II. Standard**

Arbitration is a matter of contract. (C.C.P. § 1281, 1281.2; *Unimart v. Superior Court* (1969) 1 Cal.App.3d 1039, 1045). A party to the arbitration agreement may seek a court order compelling the parties to arbitrate the dispute covered by the agreement. (C.C.P. § 1281.2.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC Rule 3.1330; *see also Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218–19.) This rule does not require the petitioner to authenticate the agreement or do anything more than allege its existence and attach a copy. (*Condee, supra*, 88 Cal.App.4th at 218-19.) The burden then shifts to the opposing party to demonstrate the falsity of the purported agreement. (*Condee, supra*, 88 Cal.App.4th at 218–19.)

There is a strong public policy in favor of arbitration agreements.” (*Blake v. Ecker* (2001) 93 Cal.App.4th 728, 741.) Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for rescission of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (C.C.P. § 1281.2.)

“In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability . . . . Parties may submit declarations when factual issues are tendered with a motion to compel arbitration.” (*Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

## **III. An Arbitration Agreement Exists**

Both the Federal Arbitration Act (“FAA”) and the California Arbitration Act require the existence of a valid arbitration agreement, before arbitration can be compelled. (See 9 U.S.C. §2 and Code Civ. Proc., §1281.2) The party seeking to compel arbitration has the burden of proving the existence of such an agreement by a preponderance of the evidence. (*Ruiz v. Moss Bros. Auto Group* (2014) 232 Cal.App.4th 836, 842.)

In the present case, Defendant attaches a copy of the Order Agreement containing an arbitration provision and properly authenticates that agreement. (See, Decl. of Raymond Kim [“Kim Decl.”] at ¶¶ 3-4, Ex. 1.) Specifically, Defendant provides a declaration from its Manager of Business Resolution, Raymond Kim, who attests that Plaintiff ordered the vehicle through Tesla’s website. (Kim Decl. ¶¶ 3-4.) This process

required Plaintiff to click a button that read “Place Order.” Immediately below this button was a hyperlink to the MVOA, accompanied by bold text advising that clicking the button constituted agreement to the MVOA’s terms. (Kim Decl. ¶ 4; Decl. of Raymond Kim iso Reply [“Reply Kim Decl.”] at ¶ 4, Ex. 3.) This constitutes a “clickwrap” agreement, where a user confirms assent by clicking a button to accept terms. (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 470.) Based on recent California appellate court cases, “the full context of the transaction is critical to determining whether a given textual notice is sufficient to put an internet consumer on inquiry notice of contractual terms.” (*Id.*, at 477.) Here, as demonstrated by Defendant, Plaintiff’s consent to be subject to a binding arbitration agreement is implied by this affirmative act of assent, which, as explained by Raymond Kim, was a necessary step to purchase the vehicle.

Plaintiff argues that because the Order Agreement is unsigned, there is no evidence that he assented to it, and Defendant therefore failed to meet its burden of establishing an arbitration agreement exists. This is incorrect. The party seeking arbitration must present “prima facie evidence of a written agreement to arbitrate.” (*Rosenthal, supra*, 14 Cal.4th at 413.) This burden does not require proving the agreement’s validity, but merely its existence, by a preponderance of the evidence. (*Id.*) A declaration from a corporate representative authenticating a copy of the agreement from business records and describing the process of its formation is generally sufficient to meet this initial burden. (See, *Espejo, supra*, 246 Cal.App.4th 1047, 1058.) Mr. Kim’s declaration, based on his familiarity with Tesla’s sales and record-keeping processes, appears sufficient to meet this prima facie standard. (See, *Condee, supra*, 88 Cal.App.4th at 218–19.) The burden then shifts to Plaintiff to offer admissible evidence to challenge the authenticity of the agreement. (*Ivere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.)

Plaintiff presents no evidence to rebut Defendant’s prima facie showing. Therefore, Defendant has established that a valid agreement to arbitrate exists under the Order Agreement.

#### **IV. The Arbitration Agreement Is Not Unconscionable**

##### ***A. California Law Applies to Determination of Unconscionability***

Plaintiff argues that the arbitration agreement is unconscionable and therefore unenforceable. “Under both federal and California law, arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (*Armendariz v. Foundation Health Psychcare Services* (2000) 24 Cal.4th 83, 98.) “[G]enerally applicable contract defenses, such as ... unconscionability, may be applied to invalidate arbitration agreements without contravening’ the FAA” or California law. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 246.) The leading U.S. Supreme Court case discussing the scope of arbitration clauses held that the enforcement of an arbitration clause is a matter of ordinary state-law contract principles. (*AT&T Mobility LLC v. Concepcion* (2011) 131 S.Ct. 1740, 1745 (*Concepcion*); see also, *First Options v. Kaplan* (1995) 514 U.S. 938, 944.) This was confirmed in *Sanchez v. Valencia Holding Co, LLC* (2015) 61 Cal.4th 899, where the California Supreme Court found that

the U.S. Supreme Court's decision in *Concepcion*, *supra*, 563 U.S. 333, "reaffirmed that the FAA does not preempt generally applicable contract defenses such as fraud, duress, or unconscionability." (*Id.* at 906.) The Court accordingly held that California's unconscionability doctrine was applicable to determine whether an agreement to arbitrate was unconscionable, stating: "[W]e hold that *Concepcion* requires enforcement of the class waiver but *does not* limit the unconscionability rules applicable to other provisions of the arbitration agreement." (*Id.* at 907 [emphasis supplied].)

### **B. Unconscionability Generally**

A contract is unenforceable if it is unconscionable. (Civ. Code § 1670.5.) "The doctrine of unconscionability contains two components: procedural unconscionability and substantive unconscionability." (*Fitz v. NCR Corp.* (2004) 118 Cal.App.4th 702, 713.) Both must "be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." (*Armendariz*, *supra*, 24 Cal.4th at 114.) The procedural element focuses on oppression and surprise due to unequal bargaining power. (*Ibid.*) The substantive element focuses on overly harsh or one-sided results. (*Ibid.*) The core concern of the unconscionability doctrine is the absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party. (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1145.) The unconscionability doctrine ensures that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as overly harsh. (*Ibid.*)

### **C. Procedural unconscionability**

Procedural unconscionability involves two factors: oppression and surprise. (*Carlson v. Home Team Pest Defense, Inc.* (2015) 239 Cal. App. 4th 619, 631.) "Oppression occurs 'where a contract involves lack of negotiation and meaningful choice' and surprise involves the extent to which 'the allegedly unconscionable provision is hidden within a prolix printed form.'" (*Haydon v. Elegance at Dublin* (2023) 97 Cal. App. 5th 1280, 1287.) Oppression, and therefore procedural unconscionability, is present when the weaker party to a contract is presented with a clause and told to "take it or leave it" without the opportunity for meaningful negotiation. (*McManus*, *supra*, 109 Cal.App.4th at 91; *Armendariz*, *supra*, 24 Cal.4th at 114-115 [an arbitration agreement is adhesive when imposed on employees as a condition of employment and there was no opportunity to negotiate]; *OTTO*, *supra*, 8 Cal.5th at 126 [an arbitration agreement required as a condition of employment is adhesive].) Other circumstances indicating oppression include: "(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney." (*Otto*, *supra*, 8 Cal.5th at 126-127.) However, the fact that an arbitration clause is adhesive does not as a matter of law render it unenforceable: substantive unconscionability must still be found. (*McManus*, *supra*, 109 Cal.App.4th at 91.) "[A] sliding scale is invoked whereby the more procedurally oppressive the arbitration clause is, the less evidence of substantive unconscionability is required to warrant the

conclusion that the agreements to arbitrate are unenforceable.” (*Id*; see also, *Otto, supra*, 8 Cal.5th at 130 [where there is substantial procedural unconscionability, even a relatively low degree of substantive unconscionability may suffice to render the agreement unenforceable].)

In the present case, Plaintiff argues that the arbitration agreement is procedurally unconscionable because the Order Agreement was a standardized agreement that could not be negotiated.

The arbitration provision at issue states: “you agree that any dispute arising out of or relating to any aspect of the relationship between you and Tesla will not be decided by a judge or jury but instead by a single arbitrator in an arbitration administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules.” (Kim Decl., Ex. 1, p. 3.) The provision also contains a 30-day opt-out clause stating “[y]ou may opt out of arbitration within **30 days**...” (*Id.*) Mr. Kim attests that Plaintiff did not opt out [Kim Decl. at ¶ 7], and Plaintiff does not dispute this.

Just because the Order Agreement is a standard contract does not necessarily mean that Plaintiff lacked the power to negotiate its terms [*Crippen v. Central Valley RV Outlet* (2004) 124 Cal.App.4th 1159, 1166], and Plaintiff presents no evidence that he lacked the power to bargain. Additionally, the arbitration agreement has an explicit opt-out provision, and there is no evidence that Plaintiff’s failure to opt-out was anything other than a free and informed choice, so the agreement is not an adhesion contract. (See, *Mohamed v. Uber Techs., Inc.* (9th Cir. 2016) 848 F.3d 1201, 1211 [an arbitration agreement that provides a real opportunity to opt-out is not adhesive].) As these are Plaintiff’s sole arguments to support procedural unconscionability, he has failed to show the agreement is procedurally unconscionable. Since both procedural and substantive unconscionability are required to find an arbitration agreement unenforceable, the agreement here shall be enforced. (*Armendariz, supra*, 24 Cal.4th at 114; *McManus, supra*, 109 Cal.App.4th at 91.)

#### **D. Substantive Unconscionability**

In addition, even if there was some procedural unconscionability in the arbitration agreement, Plaintiff fails to establish it is substantively unconscionable. “Substantive unconscionability” refers to terms that unreasonably favor one party, i.e., terms that are “unreasonably one-sided” or “so one-sided as to shock the conscience.” (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1145.) In assessing substantive unconscionability, the “paramount consideration” is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.) An employment arbitration agreement is not substantively unconscionable if five minimum requirements are met, it: “(1) provides for neutral arbitrators, (2) provides for more than minimal discovery, (3) requires a written award, (4) provides for all of the types of relief that would otherwise be available in court, and (5) does not require employees to pay either unreasonable costs or any arbitrators’ fees or expenses as a condition of access to the arbitration forum.” (*Armendariz, supra*, 24 Cal.4th at 102, citing *Gilmer v. Interstate/Johnson Lane Corp.* (1991) 500 U.S. 20.)

Plaintiff's sole basis for his argument that the arbitration agreement is substantively unconscionable is that it has a one-sided pre-arbitration procedure. The language on which this claim is based states: "If you have a concern or dispute, please send a written notice describing it and your desired resolution to resolutions@tesla.com. If not resolved within 60 days, you agree that any dispute...will...be decided...by a single arbitrator..." (Kim Decl., Ex. 1, p. 3.) While Plaintiff is correct that the agreement does not require Defendant to send written notice of a dispute to Plaintiff before seeking arbitration, the use of the term "please" in the above clause shows that such notice is also not mandatory for Plaintiff. Instead, the notice provision is a non-binding, preliminary step intended to facilitate informal settlement, and it in no way invalidates any of Plaintiff's rights under the agreement. Thus, this provision does not make the arbitration agreement substantively unconscionable, and the motion shall therefore be granted.

## **V. Stay of the Action**

Pursuant to C.C.P. § 1284, "[i]f a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." (*Ibid.*) Therefore, this action shall be stayed pending the completion of arbitration.

## **Ruling:**

Grant the request for judicial notice. Grant the motion. Stay the action pending the resolution of arbitration.